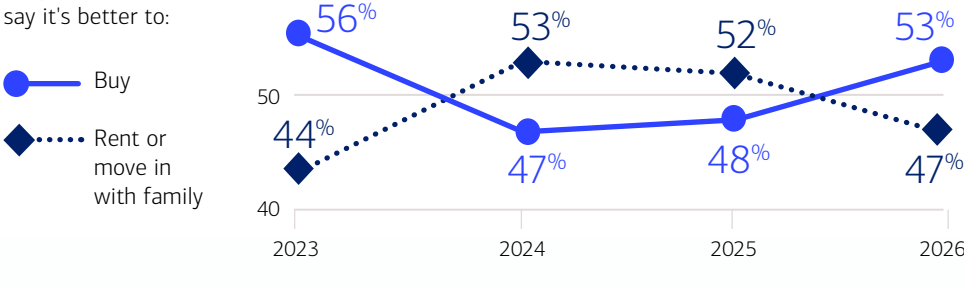


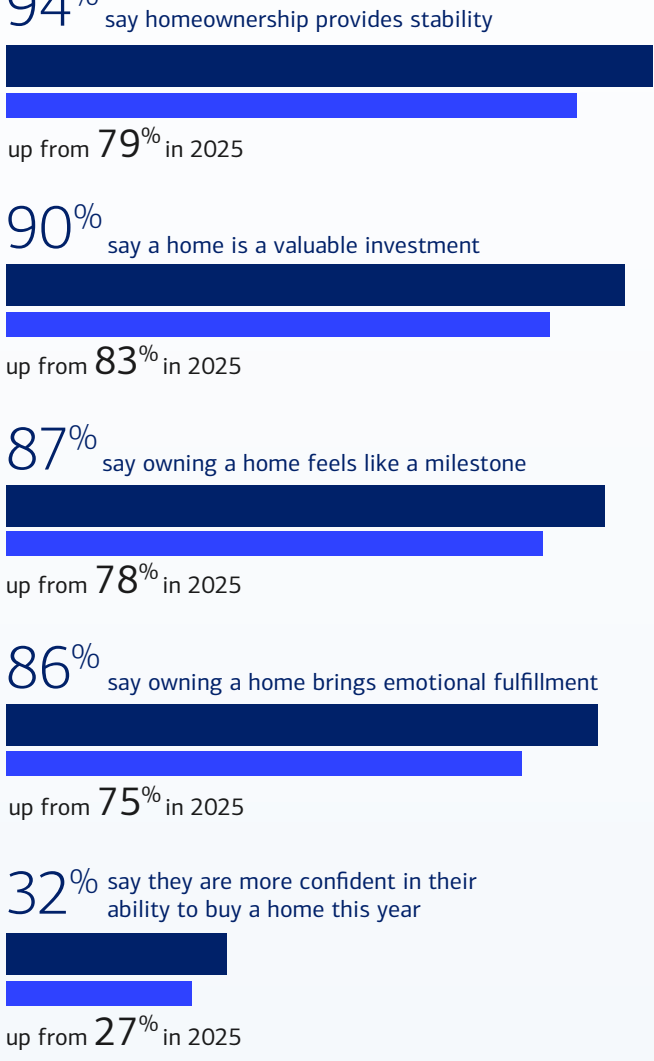
2026 Homebuyer Insights Report

Consumer Homeownership Sentiment Rises

For the first time since 2023, more consumers say it's better to buy a home than to rent, and confidence in homeownership is rising across all measured attitudes.



Sentiment toward homeownership increased across all measured attitudes compared to 2025:



“

We are seeing meaningful changes in attitudes toward homeownership. Despite real and persistent challenges in the market, buyers and owners are increasingly optimistic, and many are starting to move forward rather than waiting on the sidelines.

”

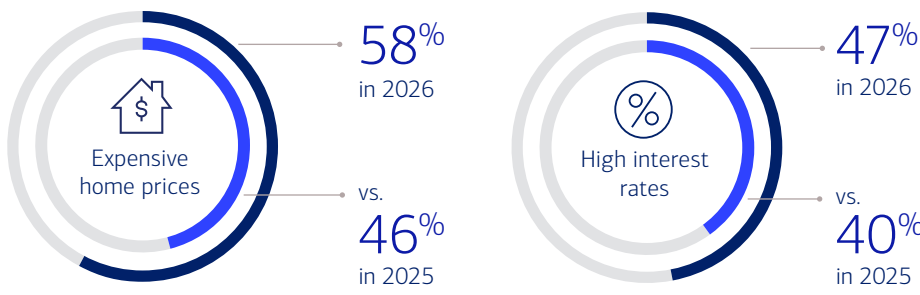
MATT VERNON
Head of Consumer Lending

Movement in the Market

Affordability remains the top barrier for prospective buyers, but intent to act is rising.

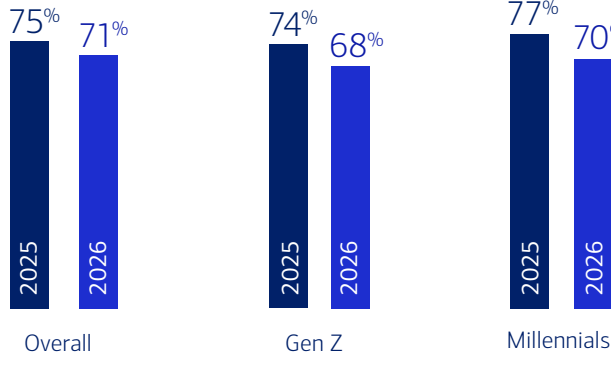


Top factors delaying prospective buyers' home purchases include:

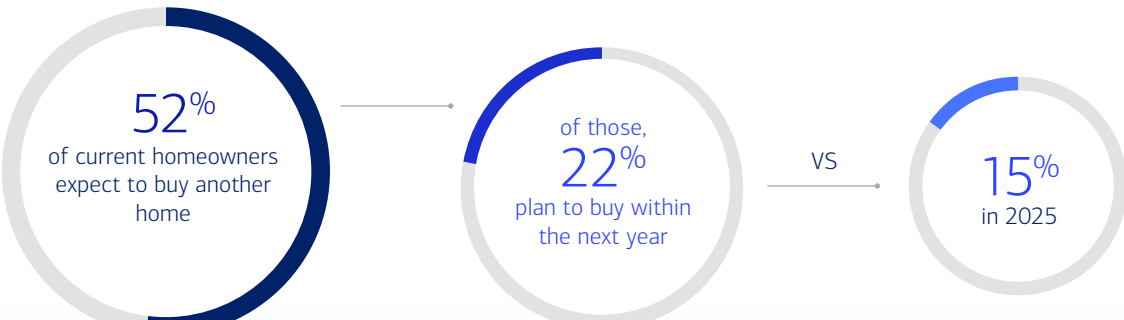


Even so, fewer prospective buyers say they expect market conditions to improve and are waiting until then to purchase a home.

Percentage of respondents who say they expect prices and interest rates to fall and are waiting until then to buy a home:



As more prospective buyers jump into the market, the lock-in effect¹ appears to be easing with more current homeowners planning to move, and do it sooner:



Data shows an increased willingness from prospective homebuyers to move even if it means paying a higher interest rate for:



A more affordable area

76%

(vs. 71% in 2025 and 68% in 2024)



Their dream home

75%

(vs. 69% in 2025 and 67% in 2024)



A better location

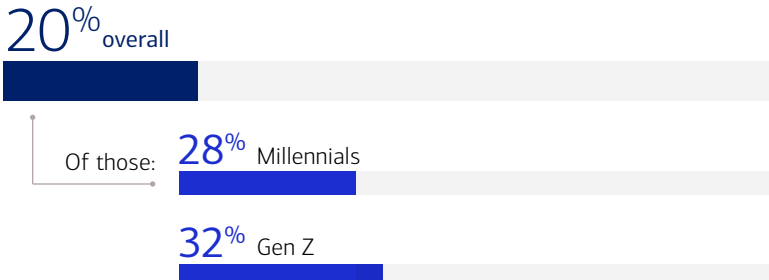
71%

(vs. 65% in 2025 and 63% in 2024)

AI Becomes Part of the Homebuying Journey

One in five prospective buyers and current homeowners are now using AI tools in the homebuying process, with younger generations leading the way.

Prospective buyers and current homeowners who used AI tools or chatbots in the past 12 months for homebuying research:



Among prospective buyers who used AI, the top use cases include:

57%

Estimating affordability, mortgage payments, or closing costs

55%

General education and research about the process

52%

Researching neighborhoods, market trends, or property values



Even so, prospective buyers still prefer human expertise for key steps:

55%

Touring homes

54%

Legal or contractual advice

“

AI is becoming a meaningful first step in the homebuying journey, especially for younger buyers, but when it comes to high-stakes decisions, people still want trusted experts by their side. We find that clients prefer a mix of high-tech solutions, like Bank of America's Digital Mortgage Experience, which streamlines the mortgage application process for clients online or on mobile, paired with the high-touch experience and expertise of lending and real estate professionals along the way.

MATT VERNON
Head of Consumer Lending

Gen Z Adapts to Today's Market

As the market shifts, Gen Z are taking steps to make homeownership more attainable:



Taking on extra jobs

28%



Considering co-buying with friends or family

32%



Planning to leverage down payment assistance programs...

31%

1. The lock-in effect refers to the financial disincentive that prevents homeowners from selling their property because doing so would mean giving up a low, favorable mortgage interest rate they secured in the past and being forced to take on a new mortgage at today's much higher rates

Methodology: Sparks Research conducted a national online survey on behalf of Bank of America from April 13 to May 10, 2026. A total of 2,000 surveys (1,000 homeowners / 1,000 renters) were completed with adults 18 years old or older who make or share in household financial decisions and who currently own a home/previously owned a home or plan to own a home in the future. The margin of error is +/- 2.2 percent at the 95 percent confidence level. Select questions allowed respondents to choose more than one answer, resulting in responses that may equate to more than 100 percent.

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